Perfect and imperfect competition – monopoly, regulation of monopoly, monopolistic completion (features and equilibrium of a firm) – oligopoly – Kinked demand curve – Collusive oligopoly (meaning) – Non-price competition – Product pricing – Cost plus pricing – Target return pricing – Penetration pricing – Predatory pricing – Going rate pricing – Price skimming

Perfect and imperfect competition

A market refers to a system through which the sellers and purchasers of a commodity interact with each other and participate in sale and purchase. It refers to an institutional relationship between purchasers and sellers. It is an arrangement which links buyers and sellers. The four types of market structures are:

1. Perfect Competition
2. Monopoly
3. Monopolistic Competition
4. Oligopoly

3.1 Perfect Competition

Perfect competition is a market situation where there is infinite number of buyers and sellers that no one is big enough to have any appreciable influence over market price.

Features

1. Large number of buyers and sellers. Neither a single buyer nor a single seller can influence the price. There will be uniform price in the market.
2. Existence of homogeneous Products. The products produced by all the firms in the perfectly competitive market must be homogeneous in all respects. The products of different firms are perfect substitutes.
3. Perfect knowledge about market conditions. Both buyers and sellers are fully aware of the current price in the market. Therefore the buyer will not offer high price and the sellers will not accept a price less than the one prevailing in the market.
4. The firm is a price taker.
5. Free entry and Free exit. There must be complete freedom for the entry of new firms or the exit of the existing firms from the industry. When the existing firms are earning super-normal profits, new firms enter into the market. When there is loss in the industry, some firms leave the industry
6. Perfect mobility of factors of production. The factors of productions should be free to move from one industry to another.
7. Absence of transport cost. If transport cost is incurred, the firms nearer to the market will charge a low price than the firms far away. Hence it is assumed that there is no transport cost.
8. Absence of Government regulations. The price in the perfectly competitive market is free to change in response to changes in demand and supply conditions.

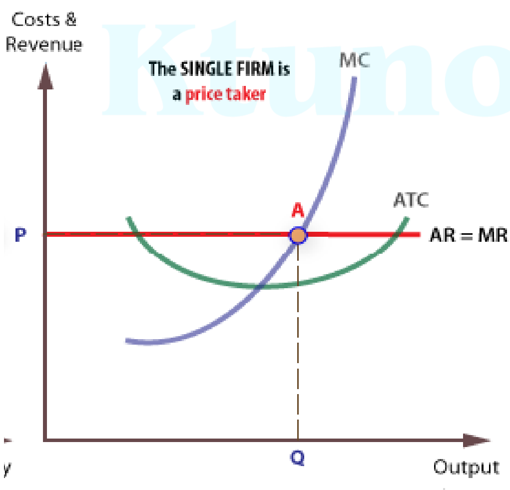
Determination of equilibrium price and output under perfect competition

The equilibrium price and output is studied under two time periods, the short run and the long run.

Short run

The short run is a period in which the number and of the firms are fixed. In this period, the firm can produce more only by increasing the variable inputs. As the entry of new firms or exit of the existing firms is not possible in the short-run, the firms can either earn super-normal profit or normal profit or incur loss in the short period.

The demand curve under perfect competition is perfectly elastic and is parallel to X-axis. It is also the average revenue curve of the firm. There is a uniform price in the market and all the units of the output are sold at the same price. Since the Average Revenue is constant, Marginal Revenue is also constant and coincides with Average Revenue. The perfect competitive firm is a price-taker, and has to adjust its level of output to maximise its profit.



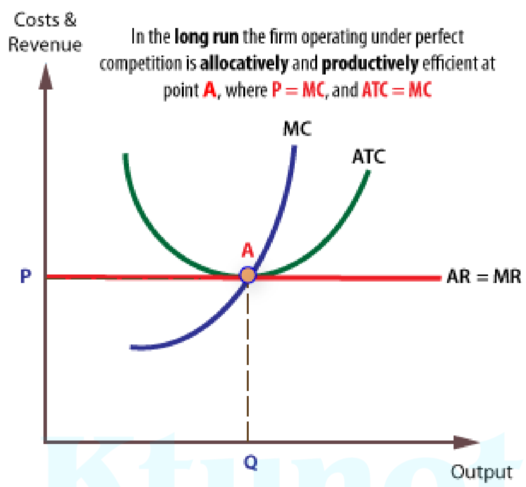
The firm is in equilibrium at point A where

1. MR = MC and
2. MC curve cuts MR curve from below.

The firm will be producing OQ level of output at price OP. The firm earns supernormal profits at this level of output, since average total cost (ATC) is lesser than average revenue.

Long run

In the long run, all factors are variable. The firms can increase their output by increasing its plant size. Moreover, new firms can enter the industry and existing firms can leave the industry. As a result, all the existing firms will earn only normal profit in the long run. If the existing firms earn supernormal profit, the new firms will enter the industry to compete with the existing firms. The supply of the product increases and firms will lower their prices to sell more. Hence the average revenue will come down. This will continue till AR = AC. Thus, all the perfectly competitive firms will earn only normal profits in the long run.



In the figure, the firm is in equilibrium at point A where LMC = MR = AR = LAC. The long run equilibrium output is OQ. The equilibrium price is OP. The firm is earning just normal profits. If the price rises above OP, the firm will earn abnormal profit, which will attract new firms into the industry. If the price is less than OP, there will be loss and the tendency will be to exit. Competitive firms are in equilibrium at the minimum point of average total cost curve.

Advantages of perfect competition

1. There is consumer sovereignty in a perfect competitive market. The consumer is rational and he has perfect knowledge about the market conditions. Therefore, he will not purchase the products at a higher price.
2. In the perfectly competitive market, the price is equal to the minimum average cost. It is beneficial to the consumer.
3. The perfectly competitive firms are price-takers and the products are homogeneous. Therefore it is not necessary for the producers to incur expenditure on advertisement to promote sales. This reduces the wastage of resources.
4. In the long run, the perfectly competitive firm is functioning at the optimum level. This means that maximum economic efficiency in production is achieved.

3.2 <u>Monopoly</u>

Monopoly is a market structure characterised by the existence of a single seller, there are no close substitutes for the commodity produced and there are barriers to entry.

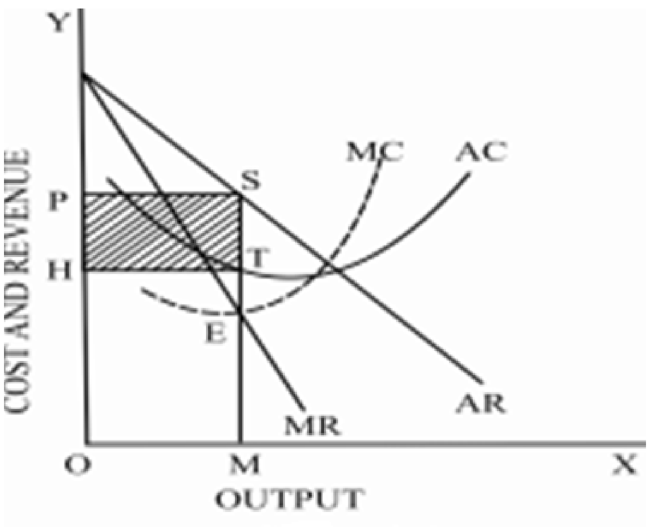
<u>Features</u>

1. A single Seller. Since the market is dominated by one seller, he can control either price or quantity of his product. But he cannot control demand for the product, as there are many buyers.
2. No close Substitutes. There are no close substitutes for the product. The buyers have no alternatives. Either they have to buy the product or go without it.
3. The firm is a price maker. The monopolist can fix any price that he wants since he is the sole producer of the product.
4. Price discrimination. The monopolist has control over the supply so as to increase the price. Sometimes he may adopt price discrimination. He may fix different prices for different sets of consumers. A monopolist can either fix the price or quantity of output; but he cannot do both, at the same time.
5. No free entry into the industry. There are strong barriers to the entry of new firms. There are legal, technological, economic or natural barriers which may block the entry of new producers.
6. No difference between firm and industry. Under monopoly, there is no difference between a firm and an industry. As there is only one firm, that single firm constitutes the whole industry.

<u>Determination of equilibrium price and output under monopoly</u>

A monopoly firm faces a downward sloping demand curve, that is, its average revenue curve. The downward sloping demand curve implies that larger output can be sold only by reducing the price. Its marginal revenue curve will be below the average revenue curve. The monopolist will be in equilibrium when

1. MR = MC and
2. MC curve cuts MR curve from below.



In the figure, AR is the average revenue Curve and MR is the marginal revenue curve. AR curve is falling and MR curve lies below the AR. The monopolist is in equilibrium at E where MR = MC. He produces OM units of output and fixes price at OP. Total profit is equal to HTSP. The monopolist is in equilibrium at point E and produces OM output at which he is earning maximum profit. The monopoly price is higher than the marginal revenue and marginal cost.

Advantages of monopoly

1. Monopoly firms have large-scale production possibilities and also can enjoy both internal and external economies. This will result in the reduction of costs of production. Output can be sold at low prices. This is beneficial to the consumers.
2. Monopoly firms have vast financial resources which could be used for research and development. This will enable the firms to innovate quickly.
3. There are a number of weak firms in an industry. These firms can combine together in the form of monopoly to meet competition. In such a case, market can be expanded.

Disadvantages

1. A monopolist always charges a high price, which is higher than the competitive price. Thus a monopolist exploits the consumers. There is a danger that monopoly power might be misused for exploiting the consumers.
2. A monopolist is interested in getting maximum profit. He may restrict the output and raise prices. Thus, he creates artificial scarcity for his product.
3. A monopolist often charges different prices for the same product from different consumers. He extracts maximum price according to the ability to pay of different consumers.
4. A monopolist uses large-scale production and huge resources to promote his own selfish interest. He may adopt wrong practices to establish absolute monopoly power.
5. In a country dominated by monopolies, wealth is concentrated in the hands of a few. It will lead to inequality of incomes. This is against the principle of the socialistic pattern of society.

Reasons for the existence of monopoly

1. Natural: A monopoly may arise on account of some natural causes. Some minerals are available only in certain regions. For example, South Africa has the monopoly of diamonds, Canada in nickel, Middle East in oil etc.
2. Technical: Monopoly power may be enjoyed due to technical reasons. A firm may have control over raw materials, technical knowledge, special know-how, scientific secrets and formula that enable a monopolist to produce a commodity.
3. Legal: Monopoly power is achieved through patent rights, copyright and trade marks by the producers. This is called legal monopoly.
4. Large amount of capital: The manufacture of some goods requires a large amount of capital or lumpiness of capital. All firms cannot enter the field because they cannot

afford to invest such a large amount of capital. Examples are the iron and steel industry, railways, etc.

5. State Monopoly: Government will have the sole right of producing and selling some goods. They are State monopolies. For example, in India public utilities like electricity and railways enjoy monopoly power.

Regulation of Monopoly

Methods of Controlling Monopoly

1. Legislative Method. Government can control monopolies by legal actions. Anti-monopoly legislation has been enacted to check the growth of monopoly. In India, the Monopolies and Restrictive Trade Practices Act was passed in 1969. The objective of this
Act is to prevent the unwanted growth of private monopolies and concentration of economic power in the hands of a small number of individuals and families.
2. Controlling Price and Output. This method can be applied in the case of natural monopolies. Government would fix either price or output or both.
3. Taxation. Taxation is another method by which the monopolistic power can be prevented or restricted. Government can impose a lump-sum tax on a monopoly firm, irrespective of its level of output. Consequently, its total profit will fall.
4. Nationalisation. Nationalising big companies is another solution. Government may take over monopoly companies which are exploiting consumers.
5. Consumer's Association. The growth of monopoly power can also be controlled by encouraging the formation of consumers associations to improve the bargaining power of consumers.

Price Discrimination under monopoly

Price discrimination means the practice of selling the same commodity at different prices to different buyers. If the monopolist charges different prices from different consumers for the same commodity, then he is adopting price discrimination.

Conditions

Price discrimination is possible only if the following two conditions are fulfilled.

1. There should be no possibility of a resale from the low priced market to the high priced market. The monopolist should be able to keep the two markets or different markets separate so that the commodity will not be moving from one market to the other market. If it is possible to buy the product in the cheaper market of the monopolist and sell it in the dearer market, there can never be two prices for the commodity.
2. The demand must not be transferable from the high priced market to the low priced market. It should not be possible for buyers in the dearer market to sneak into the cheaper market to take advantage of the low price.

Types of price discrimination

According to Prof. A.C.Pigou there are three degrees of price discrimination.

1. First degree price discrimination

First degree price discrimination occurs when a monopolist charges a different price for each unit of the commodity sold. He charges the maximum that each buyer is willing to pay leaving no consumer surplus. This involves maximum exploitation of the workers.

2. Second degree price discrimination

Here the monopolist divides buyers into groups and from each a different price is charged.

3. Third degree price discrimination

Here the monopolist divides the entire market into two sub markets and charges a different price in each sub market.

3.3 Monopolistic Competition

Monopolistic competition refers to the market situation in which a large number of sellers produce goods which are close substitutes of one another. It combines the features of both monopoly and competition. The products are similar but not identical. The particular brand of product will have a group of loyal consumers. In this respect, each firm will have some monopoly and at the same time the firm has to compete in the market with the other firms as they produce a fair substitute. The essential features of monopolistic competition are product differentiation and the existence of many sellers.

Features

1. Existence of Large Number of firms. Under monopolistic competition, the number of firms producing a commodity will be very large. Due to their large number the contribution of each firm towards the total demand of the product is small. Each firm will act independently on the basis of product differentiation and each firm determines its price-output policies. Any action of the individual firm in increasing or decreasing the output will have little or no effect on other firms.
2. Product differentiation. Product differentiation is the essence of monopolistic competition. Product differentiation is the process of altering goods that serve the same purpose so that they differ in minor ways. Product differentiation is attempted through (a) physical appearance (b) difference in quality; (c) packaging and (d) purchase benefits (e) advertisement (f) home delivery (g) free services etc.
3. Selling Costs. As a result of product differentiation, it can be inferred that the producer under monopolistic competition has to incur expenses like advertisement to popularise his brand. This expenditure involved in selling the product is called selling cost. According to Prof. Chamberlin, selling cost is "the cost incurred in order to alter the position or shape of the demand curve for a product".
4. Freedom of entry and exit of firms. There are no barriers as in the case of monopoly.
5. Monopolistic competition presupposes that customers have definite preferences for particular varieties of products. Hence pricing is not the problem but product differentiation is and competition is not on prices but on products.

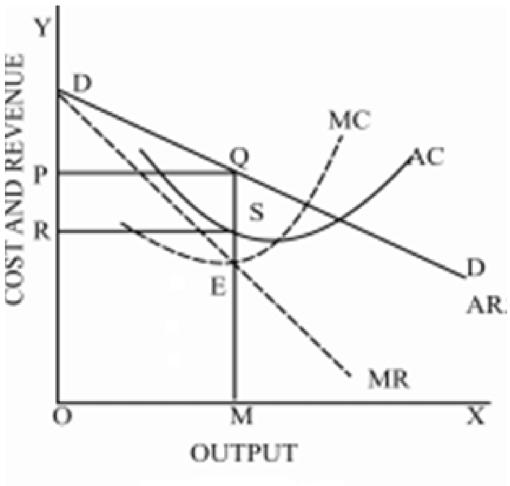
Determination of Equilibrium price and output under monopolistic competition

The monopolistic competitive firm will also come to equilibrium when

1. MC = MR and

2. MC curve cuts MR curve from below.

Each firm will choose that price and output where it will be maximising its profit.



In the figure, the equilibrium point is E where MR = MC. The equilibrium output is OM and the price of the product is fixed at OP. The difference between average cost and average revenue is SQ. The output is OM. So, the supernormal profit for the firm is shown by the rectangle PQSR. The firm by producing OM units of its commodity and selling it at a price of OP per unit realizes the maximum profit in the short run. The different firms in monopolistic competition may be making either abnormal profits or losses in the short period.

In the long run, if the existing firms earn super normal profit, the entry of new firms will reduce its share in the market. The price of the product will come down. The demand for factors of production will increase the cost of production. Hence, its profit will get reduced. If the existing firms incur losses in the long-run, some of the firms will leave the industry increasing the share of the existing firms in the market. As the demand for factors becomes less, the price of factors will come down. This will reduce the cost of production, which will increase the profit earned by the existing firm. Thus under monopolistic competition, all the existing firms will earn normal profit in the long run.

<u>Demerits of Monopolistic competition</u>

1. Unemployment of resources. Under monopolistic competition, the firms produce less than optimum output. As a result, the productive capacity is not used to the fullest extent. This will lead to unemployment of resources.
2. Excess capacity: Excess capacity is the difference between the optimum output that can be produced and the actual output produced by the firm. In the long run, a monopolistic firm produces an output which is less than the optimum output that is the output corresponding to the minimum average cost. This leads to excess capacity which is regarded as waste in monopolistic competition.

3. High selling costs. There is a lot of waste in competitive advertisements under monopolistic competition. The wasteful and competitive advertisements lead to high cost to consumers.
4. Existence of a many brands. Introducing too many varieties of a good is another waste of monopolistic competition. The goods differ in size, shape, style and colour. A reasonable number of varieties would be desirable. Cost per unit can be reduced if only a few are produced.
5. Inefficient Firms. Under monopolistic competition, inefficient firms charge prices higher than their marginal cost. Such type of inefficient firms should be kept out of the industry. But, the buyers' preference for certain brands enables the inefficient firms to continue to exist. Efficient firms cannot drive out the inefficient firms because the former may not be able to attract the customers of the latter.

3.4 <u>Oligopoly</u>

Oligopoly is a market situation in which there are few large firms producing closely differentiated products. Each firm in the industry is supplying a significant share of the total industry output. It is also referred to as 'competition among the few'. The number of firms is so small that every seller is affected by the activities of the others.

<u>Features</u>

1. Interdependence. The most important feature of oligopoly is interdependence in decision - making. Since there are a few firms, each firm closely watches the activities of the other firm. Any change in price, output, product, etc., by a firm will have a direct effect on the fortune of its rivals. So an oligopolistic firm must consider not only the market demand for its product, but also the possible moves of other firms in the industry.
2. Group Behaviour. Firms may realise the importance of mutual co-operation. Then they will have a tendency of collusion. At the same time, the desire of each firm to earn maximum profit may encourage competitive spirit. Thus, co-operative and collusive trend as well as competitive trend would prevail in an oligopolistic market.
3. Price Rigidity. Another important feature of oligopoly is price rigidity. Price is sticky or rigid at the prevailing level due to the fear of reaction from the rival firms. If an oligopolistic firm lowers its price, the price reduction will be followed by the rival firms. As a result, the firm loses its profit. Expecting the same kind of reaction, if the oligopolistic firm raises the price, the rival firms will not follow. This would result in losing customers. In both ways the firm would face difficulties. Hence the firm has no tendency to change its price.
4. Barriers to Entry. The existence of oligopoly in the long run requires the existence of barriers to the entry of the new firms. Several factors such as unlimited size of the market, requirement of huge initial investment etc. creates barriers to the entry of new firms.

<u>Determination of equilibrium price and output under oligopoly</u>

Indeterminate demand curve under oligopoly

The demand curve of a firm under oligopoly is indeterminate on account of (a) interdependence and (b) group behaviour. Hence it is difficult to know the exact position of the demand curve. The effect of a change in price by a firm depends on the reaction of its rivals. Sometimes a price cut by a firm may not cause others to change their own price. At other times it may invite immediate retaliation.

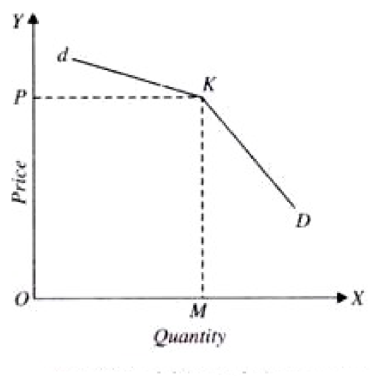
It is not possible to have a single generalised solution to pricing under oligopoly. The existence of a few large firms makes price determination under oligopoly difficult on account of their unpredictable nature. The actions and reactions of rival firms make firms aim at maximisation of sales to ensure survival rather than aim at maximisation of profit.

There are three different approaches to pricing under oligopoly.

1. Kinked Demand Curve (Price Rigidity under Oligopoly)

The price under oligopoly market is fixed for a long period of time and does not vary as in the case of other market situations.

If a firm increases its price, others will not come forward with a price increase of their own and the firm may lose some customers to its rivals. If the firm cuts its price, others will immediately follow suit to protect their own sales and the original firm will not gain more sales. The kink is formed at the prevailing price because the segment of the demand curve above this price is highly elastic and below it, less elastic. Hence the price under oligopoly tends to be rigid or sticky.



2. Price Leadership

Under price leadership, one firm assumes the role of a price leader and fixes the price of the product for the entire industry. The other firms follow this leader and accept the price fixed by it and adjusts their output accordingly. The different types of price leadership are:

a. Price leadership by a dominant firm

A dominant firm is the largest firm in the market and produces the bulk of the product of the industry. Due to this position, it is able to dominate the entire market. It sets the price and the other firm simply accept it. Naturally the dominant firm looks after its own interests and fixes a price so as to maximise its profits. The other firms are not in a position to influence the market and have to adjust their output to the price fixed by the dominant firm.

b. Barometric price leadership

Under this type an experienced and large firm assumes the role of the leader, but also protects the interests of all firms. It fixes a price that is suitable to all the firms in the industry. The price is fixed taking into consideration the market and cost conditions prevailing in the industry.

c. Aggressive price leadership

In this case the big firm establishes its supremacy in the market by following aggressive price policies. This firm forces others to follow the price fixed by it. In case the others do not obey, the leader uses aggressive strategies to make them obey it.

3. Collusive Oligopoly

Collusive oligopoly refers to the market situation where oligopolistic firms come to an agreement and decide to collude. In order to avoid price wars and cut throat competition, firms have some form of agreement among them in the matter of fixing price and output. The agreement may be formal or tacit. In the case of a formal agreement, they may even make a written agreement which may also provide for penalties to those who violate it.

Since formal or open agreements are illegal in most countries, they are generally of a secretive nature. A cartel is a type of collusive oligopoly.

Cartels

Cartels refer to any type of formal or tacit agreement reached among the oligopolistic firms of an industry. Here firms form a group under an agreement and decide the price of the product. They also agree upon the output that is to be produced. Cartels restrain competition among the member firms and hence their formation has been made illegal in most countries by passing Anti-Trust Laws against them. In spite of this cartels are still common and carry out their operations secretly.

e.g. Organisation of Petroleum Exporting Countries (OPEC).

3.5 Non-price competition

Firms in oligopolistic industries rarely compete on the basis of price since they view price-cutting as a dangerous tactic because it can initiate a price war that may have disastrous consequences in the long run. Instead they concentrate on non-price strategies such as advertising and product differentiation. These are looked at as less risky ways of attracting customers from competitors.

1. Advertising. Firms spent huge amount of money on advertising in order to increase its market share. Through repeated advertisements firms get the customers to trust their brand. Brand recall also increases.
2. Building brand loyalty. Customers loyal to a brand do not look for products made by other manufactures.

3. Brand recognition. Through repeated advertisements and by developing a unique logo, companies are able to make customers recognise their firm.
4. Product bundling. Companies bundle various products together to make customers stay with the brand even while purchasing dissimilar products.
5. Customisation. Some firms give the option to customise their products to enable customers purchase a unique product which is not available to the mass market.
6. Direct mailing. Customers are emailed or direct messaged about new products or special deals.
7. Free delivery. Most of the online shopping sites promise free or next day delivery of their products.
8. Sponsoring of various sporting events.
9. Ethical Marketing. Some firms offer to give a certain percentage of their profits to charity to attract customers who wish to buy goods with a social conscience.
10. After sales service. Some companies have a strong service network and have made it their unique selling point. This is particularly true of the car and the consumer durable goods industry.

<u>Disadvantages of non-price competition</u>

1. High retail prices.
2. It does not offer long lasting benefits.
3. The strategy is expensive, hence it is beyond the budget of small firms.
4. Brand building takes time.
5. Trade mark battles among firms.

3.6 <u>Product pricing</u>

Firms adopt different pricing strategies for their products. The price of a product depends upon:

1. Demand and supply.
2. Production cost.
3. Degree of competition.
4. Pricing strategy of competing firms.
5. Consumers purchasing power
6. Objective of the firm
7. Market Structure

The various pricing strategies adopted by firms are:

1. <u>Cost plus pricing (Markup pricing)</u>

In this strategy, the basis for the determination of price of the product is the cost of production with some margin. Price is the sum of cost plus a profit margin. It involves adding a mark up to the cost of goods to arrive at a selling price.

Price = Average Cost + markup

<u>Advantages</u>

1. This method is simple since the price of a product can be easily derived using this strategy.

2. Any contractor will willingly accept this method for a contractual agreement with a customer since this method assures a certain profit.
3. In the case of price increase, manufactures can point out the increase in production costs as the reason.

Disadvantages

1. It ignores the price charged by competitors.
2. Under this method the engineering department has no incentive to reduce costs.
3. It ignores replacement costs.

2. Target return pricing

In this method, the firm determines the price on the basis of a target rate of return on the investment. It takes into consideration what an investor would want to make from the capital invested in the project. The company works backwards from the targeted return to reach the current price.

Advantages

1. This method ensures higher profits.
2. The expected volume of sales play a part in this strategy.
3. It considers time value of money.

Disadvantages

1. The company must pick a return and a time period that is reasonable.
2. More possibility of miscalculations.
3. Sometimes companies pick an unrealistic return.

3. Penetration pricing

It is a pricing strategy that is used to quickly gain market share in a market already dominated by existing firms by setting an initial low price. This is generally used by new entrants in a market. Charging a lower price is one of the easiest ways to differentiate new entrants from existing market players. It works for products whose demand is elastic.

Advantages

1. This strategy enables a company to get its product quickly accepted by customers.
2. Competitors are caught off guard and get little time to react. It enables the company to utilize this opportunity to switch over as many customers as possible.
3. Customers that are able to find a bargain in a product are likely to return to the firm in future.

Disadvantages

1. Customers often expect permanently low prices.
2. If customers link the low prices to poor quality it will affect the brand image of the firm.
3. It may trigger a price war and the new entrant may get wiped out.

4. Predatory pricing

Predatory pricing is a strategy in which a dominant firm fixes a temporary price below the cost of production to drive out its competitors from the market. This is done on the expectation that the present losses can be recouped through higher profits in the long run. It is illegal as it violates competition laws and makes markets more vulnerable to a monopoly.

Advantages

1. Customers may benefit from low prices in the short period.
2. The price war triggered by predatory pricing may create a buyer's market.
3. Competition may provide a wider choice and new technologies to the customers.

Disadvantages

1. It is hard to succeed since driving out all rival firms is difficult.
2. It will result in huge loss of revenue at least in the short period.
3. It is illegal and can lead to court cases.

5. Going rate pricing

In this method, price id determined on the basis of the prevailing market price. The company sets the price of its product in line with the competitor's price. This type of pricing is followed in oligopolistic industries where they deal in slightly differentiated products with high cross elasticity. Companies selling steel, aluminium, paper, fertilizer, mineral water are examples.

Advantages

1. Uniform price in the market.
2. Firms follow the price leader.
3. No risk of price war

Disadvantages

1. Cost of production is ignored
2. It is difficult to match the production cost with the price that others are following.
3. Price is fixed by the dominant firm.

6. Price Skimming

It is a product pricing strategy by which a firm charges a high price at the time of introduction of a product and then lowers it over time. As the demand of the first customers are satisfied and competition enters the market, the firm lowers the price to attract the price sensitive customers. It is usually used for a new type of product to gather as much revenue as possible before competition enters the market. The skimming strategy gets its name from 'skimming' successive layers of customer segments as prices are lowered over time.

Advantages

1. It provides a higher return on investment.
2. It helps create and maintain brand image.
3. It helps firms to recover the cost of R&D.

4. Early adopters help test new products and provide word-of-mouth marketing campaigns.

Disadvantages

1. It will work only if there are a large number of customers willing to get hold of the product even at a high price.
2. The high price will quickly attract competing firms to launch similar products.
3. It works only in the short period.
4. It is suitable mainly for tech products and services.

7. Administered Pricing

Administered price is the price of a product fixed statutorily by the government. Governments fix the prices of certain essential commodities to promote social welfare and prevent exploitation. Here the forces of demand and supply do not play a role in attaining market equilibrium.

Advantages

1. It helps in controlling price of food to make it more affordable.
2. Farmers are assured of a minimum return on agricultural products.
3. It can be used to control rent and prevent exploitation of consumers.

Disadvantages

1. If a low administered price is fixed it may result in shortages.
2. It may result in a financial burden on the government since it will have to buy the surplus.
3. Sometimes it may lead to the emergence of black markets.